



DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)
SHORT-TERM INSURANCE ACT, 1998 (ACT 53 OF 1998)

Addressee:	Long-term & short-term insurers		File:	10/17/1 & 10/2/11	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	30 January 2004	01 February 2004	101.A.i (LT&ST)	In force	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	Directors and Managing Executive				

1. Legal framework

1.1 Application for registration

The Registrars of Long-term and Short-term Insurance may not grant an applicant an insurance license if -

- the applicant, amongst others, does not have the management that is necessary and adequate for the carrying on of the business concerned.
- any person who is, or will, from the date of proposed registration, be a director or managing executive of the applicant is not fit and proper to hold the office concerned.

(Vide section 9(3)(b)(i) and (ii) of the Long-term and Short-term Insurance Acts)

1.2 Notification of certain appointments, terminations and resignations

- (a) An insurer shall notify the Registrar, in the form and of the information required by the Registrar, in respect of every director or managing executive appointed by it or whose appointment has been terminated by it, or who has resigned, within 30 days after such appointment or termination or resignation, as the case may be, together with the reasons for any such termination or resignation.
- (b) Any such director or managing executive who resigns or whose appointment has been terminated by an insurer shall, at the request of the Registrar, inform the Registrar in writing of any matter relating to the affairs of that insurer of which the director or managing executive became aware in the performance of his or her duties and which may prejudice the insurer's ability to comply with the Long-term or Short-term Insurance Act.

(Vide section 18(1) and (2) of the Long-term and Short-term Insurance Acts)

1.3 Removal of appointees who are not fit and proper

- (a) The Registrar may by notice require an insurer to terminate the appointment of a director or managing executive if the person concerned is not fit and proper to hold the office concerned.
- (b) When the Registrar intends to act as contemplated in subparagraph (a), the Registrar shall give notice to the insurer concerned, and, unless it is impracticable to do so, to the person concerned, of the Registrar's intention and the reasons therefor, and the person concerned shall thereupon cease to perform the functions of the office concerned pending the final outcome of any action under subparagraph (c).
- (c) When notice has been given to an insurer in terms of subparagraph (b), that insurer and the person concerned may appeal to the board of appeal established by section 26 of the Financial Services Board Act, with the necessary changes, in accordance with that section, and any party shall have a right of appeal to the Court against the decision of that board of appeal as if it were a judgment of a lower court.

(Vide section 22 of the Long-term Insurance Act and section 21 of the Short-term Insurance Act)

- 1.4** "managing executive" is defined in the Long-term and Short-term Insurance Acts as the chief executive officer of a long-term or short-term insurer and every manager of that long-term or short-term insurer who reports directly to that chief executive officer.

2. Requirements

The Registrars have set the following requirements for long-term and short-term insurers:

2.1 Board of directors

- (a) The board structure must be unitary as opposed to supervisory and managerial.
- (b) A minimum of 4 directors must be appointed. At least one of these directors must be a non-executive who is independent.

“independent”, for purposes of this directive, means a non-executive director who –

- is not a representative of a shareholder who has the ability to control or significantly influence management;
- has not been employed by the insurance company, or the group, of which it currently forms part, in an executive capacity;
- is not a member of the immediate family of an individual who is, or has been in any of the past three financial years, employed by the insurance company or the group in an executive capacity;
- is not a professional advisor to the company or the group, other than in a director capacity;
- is not a material policyholder of the insurance company or significant supplier to the insurance company or group, or customer of the group;
- has no significant contractual relationship with the insurance company or group; and
- is free from business or other relationship that could be seen to materially interfere with the individual’s capacity to act in an independent manner.

The Registrars, at the request of the applicant insurer/insurer, may relax a provision in these requirements, for such duration and on such conditions as the Registrars may determine.

- (c) The executive directors must be resident in the Republic.
- (d) The non-executive directors must constitute at least 50% of the board.
- (e) At least two executive directors or senior members of management should attend board meetings with a duty to inform members on issues for which enlightenment is sought.
- (f) The chairman should preferably be a non-executive and need not necessarily be resident in the Republic. Please note that the chairman will be required to sign certain statutory documents (eg. the annual statutory return) and that s/he must be available to do so.

- (g) There must be sufficient insurance, legal and accounting experience and expertise amongst the board of directors. Each of the directors must be fit and proper and must complete the Personal Questionnaire form and submit a curriculum vita.
- (h) The quorum at directors meetings must be at least $\frac{1}{2}$ of the appointed directors plus 1 to the higher integer.

2.2 Managing executive

- (a) There must be sufficient insurance, legal and accounting experience and expertise amongst the managing executive.
- (b) Each of the managing executive must be fit and proper and must complete the Personal Questionnaire form and submit a curriculum vita.

2.3 Resignations or terminations of appointment of directors or managing executive

The Registrars may at their discretion request any director or managing executive who resigns or whose appointment has been terminated by an insurer to inform the Registrars in writing of any matter relating to the affairs of that insurer of which the director or managing executive became aware in the performance of his/her duties and which may prejudice the insurer's ability to comply with the Long-term or Short-term Insurance Act. Examples of when the Registrars will request such information include –

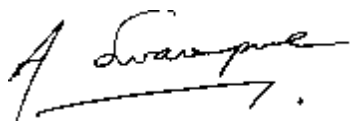
- whilst an insurer is under investigation/inspection or when an investigation/inspection is being contemplated by the Registrar.
- when an insurer fails to maintain a financially sound condition as required by the Long-term or Short-term Insurance Act.
- when an insurer has been prohibited from carrying on business because it -
 - has not furnished all information which is material to an application made to the Registrar under the Long-term or Short-term Insurance Act or has furnished information which is false.
 - has made a material misrepresentation to members of the public in connection with the insurance business carried on by it.
 - has failed to comply with a material condition subject to which it is registered or deemed to be registered as an insurer.
 - has contravened or failed to comply with a material provision of the Long-term or Short-term Insurance Act.

3. Forms

The forms required for this Directive are available on the website (www.fsb.co.za) of the Financial Services Board (FSB).

4. Information sharing

This directive is available on the website (www.fsb.co.za) of the FSB. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.

A handwritten signature in black ink, appearing to read 'A. Swane', with a horizontal line underneath.

pp REGISTRARS OF LONG-TERM AND SHORT-TERM INSURANCE